

going to do anything militarily, they had to do it soon. So we had a major world crisis.

Another resultant problem is that we now have a world capital shortage. All those decades of Communist and socialist control took their toll. Russia and China and India maintained large military forces and neglected everything else. To travel through Eastern Europe or Russia is to witness an appalling urban and industrial landscape. Housing is deplorable; hundreds of millions live in hovels. Go through the industrial plants and you find antiquated machinery that is basically useless. And so are the products they turn out. (We are told that production rates have fallen in Russia, but the statistics are meaningless; under communism the factories may have been turning out more goods, but they were so shoddy—badly designed and badly made—that they had no real value.) Pollution is a horrible problem. Russian oil pipelines leak, causing frequent fires, explosions, and soil pollution. Seventy years of communism was like five years of total war in terms of physical destruction.

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So these countries, as in the aftermath of every war, need everything—food, roads, industrial plant, housing. That has created an enormous demand for capital, and those who have the capital can therefore ask a high price for it. That keeps interest rates high—and stock prices low, because the Russian and Polish and Chinese enterprises looking for financing are risky, and investors say, “Sorry, but you can’t expect me to pay fifteen or twenty times earnings for very-high-risk companies. Eight or nine times earnings for these businesses is about right.”